GMS WEEKLY

Your Source for Recycling News

July 8th, 2022
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Week 27

Highlights:

- **Inert.**
- **Woes continue.**
- **Steel stabilizing.**
- **Freight joy.**
- **Remarkable rise.**
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QUOTE of the WEEK

"The greatest discovery of my generation is that a human being can alter his life by altering his attitudes."

– William James

MARKET COMMENTARY

LEVELING OFF!

As we enter the traditionally quieter monsoon season, it is of little surprise to see recycling markets remaining inert and quiet, with rains / flooding hampering production at yards in Chattogram and Alang labourers returning to their hometowns as recycling activities come to a seasonal crawl. This may have inadvertently triggered the recent leveling of sub-continent steel plate prices as steel output diminishes and plate prices stabilize / firm in reaction.

Although vessel prices have cooled off by USD 100/LDT in the sub-continent markets and about USD 250/MT in Turkey, global recycling sentiments remain in the doldrums given the rate of the recent declines. As such, there is no surprise to see minimal activity emanating from all markets at present, including the respective waterfronts that are displaying the shoddy state of current affairs.

Notwithstanding, global currency depreciations remain the primary source of heartburn for the ship-recycling communities, as the worrying declines on steel prices seem to have comparatively stabilized and we hope it should start to show some signs of positivity in the coming week(s).

Whilst there still remains a degree of caution and a prevailing nervousness to buy in local markets, there are unlikely to be firm / serious offers for Owners and Cash Buyers alike, and this is part of the reason why even the marginal few candidates have started to dry up of late.

Of course, all freight sectors continue to be positively poised as most Owners are now passing drydock on their aging beauties, rather than scrapping their older tonnage even when recycling rates are at historically firm numbers.

For week 27 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Weak	600 / LDT	610 / LDT	620 / LDT
2	India	Weak	590 / LDT	600 / LDT	610 / LDT
3	Pakistan	Weak	570 / LDT	580 / LDT	590 / LDT
4	Turkey	Weak	260 / LDT	270 / LDT	280 / LDT

We wish all our readers a Very Happy Eid!

BANGLADESH

TORRENTIAL!

Flooded.

Bangladesh has endured torrential rains these past few weeks, leaving parts of the country flooded and (especially) the Chattogram area, well submerged for any recycling activity to proceed at local yards.

Monsoon season is truly upon us and the minimal cutting has resulted in the slow movement of product. As supply throttles back, demand for plate starts to build and plate prices seemed to have stabilized this week.

Painful time.

While at most times, the monsoons can be a painful time for negotiations due to lack of demand, during the current time where vessel prices have plummeted USD 100/Ton, the weather may have inadvertently become a saving grace.

In fact, local steel plate prices evened out and remained stable for the week in Bangladesh. The currency, however, remains an entirely different beast as it trades at record lows against the U.S. Dollar, keeping local sentiments wary of the lingering volatility.

While meaningful tonnage remains at large, the shortage of tonnage wasn't particularly missed this week as the country geared up for Eid celebrations. As such, it maybe some time before we see some serious activity from this market.

NO MARKET SALES REPORTED

INDIA

BARELY STABLE!

After spiralling steel plate prices and a depreciating currency have seen Indian prices sink back down to some of the lower levels seen since last year, local steel plate prices seemed to find some stable footing last week and even made a strong (nearly USD 25/Ton) improvement this week.

More muted.

Similar to Bangladesh however, it seems that the onset of monsoon mixed with firming freight rates is keeping tonnage away from Alang shores and has eventually kept Indian Recyclers from moving product from local yards, resulting in some stability slipping back into domestic steel markets.

Steps taken.

The Indian Rupee on the other hand, has been taking a beating against the U.S. Dollar as it gradually depreciates towards the psychological Rs. 80 barrier, as it currently trades at region Rs. 79.30. Reportedly, the government has taken some steps to discourage the descend. Time will tell just how fruitful their efforts would be.

For now, however, Alang remains starved for tonnage and monsoon quiet on the waterfront as yard Owners conserve on operational costs whilst workers return to their home towns for the season.

NO MARKET SALES REPORTED

PAKISTAN

UNLIKELY!

Feeble.

Pakistan, unsurprisingly, remains out of the market for another week, as Owners and Cash Buyers are still reticent to deliver to a market that has been far from reliable on deliveries this year.

Moreover, this week, unlike its sub-continent competitors, both local steel plate prices and the Pakistani Rupee took tumbles of their own. As the Rupee continues to tread at record lows at PKR 207.50 against the U.S. Dollar, plate dropped by about USD 10/Ton through the week.

Lowest ranked.

Thankfully, the lack of tonnage and Eid celebrations should keep local Buyers distracted into early next week (even beyond).

Prices are also the lowest across the sub-continent, and coupled with its poor performance, it is highly unlikely we will see any meaningful candidates head to Pakistan for the much of this year.

NO MARKET SALES REPORTED

TURKEY

LEVELING OFF…

A second consecutive week of firming plate prices (both local and import steel to the tune of USD 20/Ton and USD 30/Ton respectively) has certainly dead-ended the seemingly unending decline in vessel prices from a couple of weeks ago – a massive and nearly USD 250/MT abyssal plummet.

Plummet.

The currency, however, is an entirely different nightmare as the Lira now approaches TRY 18 against the U.S. Dollar, blowing past TRY 17.30 this week. Does it affect matters moving forward?

Certainly!

"Airplane Mode"

In the short term where Owners greeted with these new pricing realities in the mid USD 200s/Ton will certainly take some time to digest this colossal plummet.

In the long run of course, it becomes a matter of sustainability on two fronts i.e. on the one hand, how long can Owners face to lose more than double on their aging units (when compared to sub-continent levels) on any given day. On the other hand, how long can local Recyclers sustain keeping their plots open as tonnage scarcity drives business into "airplane mode".

One thing is for certain, just like the rest of the industry, a quiet time on the side-lines for this market is certainly on the ropes.

NO MARKET SALES REPORTED

AMAZING FACTS

- *Human beings can use only a small fraction of Earth's water. In school, we were taught that most (specifically, 71 percent) of the planet's surface is covered in water. While that's true, humans can use only 0.007 percent of that water, according to National Geographic. That's because only about 2.5 percent of Earth's water is fresh water, and only 1 percent of that is accessible. The rest makes up glaciers and snowfields.*
- *The brand name Spam is a combination of "spice" and "ham". This is one of those interesting facts you probably thought you knew but actually didn't. Contrary to American mythology, Spam is not an acronym for "Scientifically Processed Animal Matter" or "Shoulder of Pork and Ham," Eater reports.*
- *It takes a drop of water 90 days to travel the entire Mississippi River. Spanning 2,340 miles, the Mississippi River is the third-largest watershed in the world. That's one long stretch of water. So long, in fact, that it takes one drop of water approximately 90 days to travel its entire length.*
- *People once ate arsenic to improve their skin. You've probably heard about how a lot of the Victorians' favorite cosmetics were riddled with arsenic, but it gets worse. There were also products on the market in the late 19th century, like Dr. James P. Campbell's Safe Arsenic Complexion Wafers, that were meant to be eaten. They claimed to get rid of freckles, blackheads, and other "facial disfigurements." Admit it: That's one of the most interesting facts you've learned in a while.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
July 10 – Eid-Al-Adha	July 10 – July 19 July 26 – July 31

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
July 09 – July 11 – Eid-Al-Adha	July 13 – July 16 July 29 – July 31

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in July	July 09 – 12 – Eid-Al-Adha	July 09 – 12 – Eid-Al-Adha

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ALANG - Port Position as of July 08, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Pisc	16,723	Passenger Vessel	Arrived July 03
Total Tonnage		**16,723**		

CHATTOGRAM - Port Position as of July 08, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ariana	15,672	Tanker	Arrived June 22
2	Cui Hua	5,491	Bulk Carrier	Arrived June 19
3	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
4	*June Luck*	*2,582*	*Tanker*	*Beached July 03*
5	Suntud Samud 3	1,020	Container	Arrived June 30
6	*Thousand Sunny*	*1,098*	*Tanker*	*Beached July 05*
7	Winton T128	975	Bulk Carrier	Arrived June 23
8	*Xiang Shun*	*3,025*	*Tanker*	*Beached July 05*
Total Tonnage		**46,747**		

GADANI - Port Position as of July 08, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

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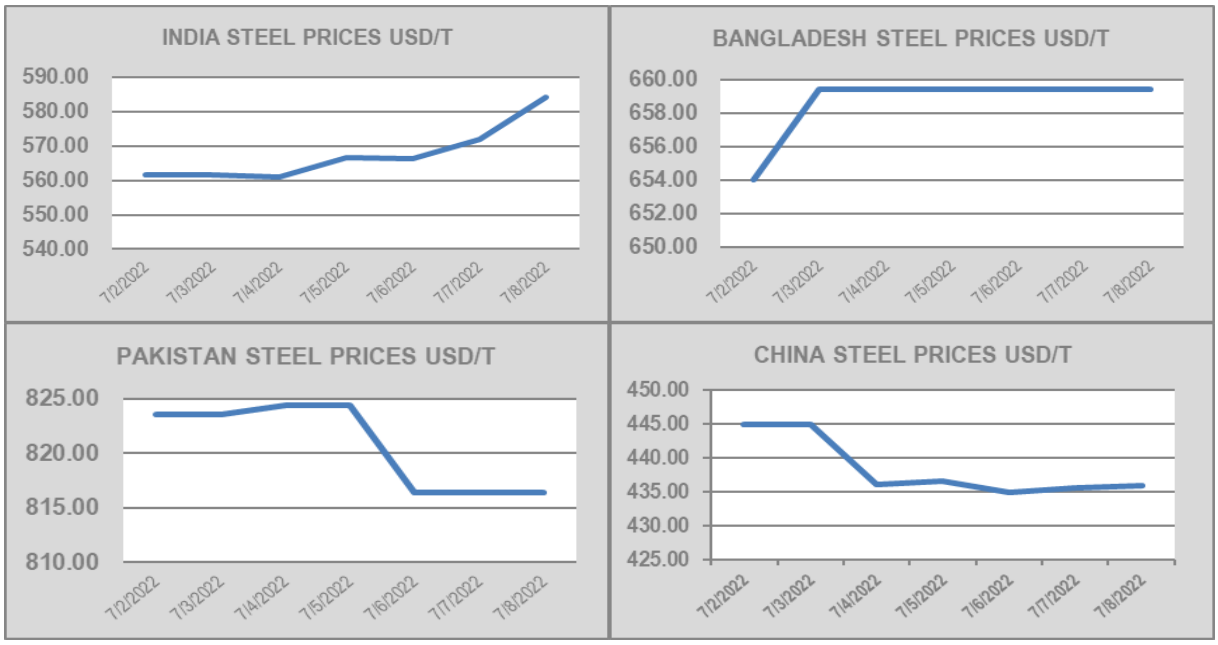
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
7/2/2022	561.74	44,400.00	823.59	169,000.00	654.05	60,500.00	444.94
7/3/2022	561.74	44,400.00	823.59	169,000.00	659.46	61,000.00	444.94
7/4/2022	561.11	44,300.00	824.39	169,000.00	659.46	61,000.00	436.11
7/5/2022	566.59	44,800.00	824.39	169,000.00	659.46	61,000.00	436.66
7/6/2022	566.20	44,900.00	816.43	169,000.00	659.46	61,000.00	434.97
7/7/2022	572.11	45,300.00	816.43	169,000.00	659.46	61,000.00	435.64
7/8/2022	584.23	46,300.00	816.43	169,000.00	659.46	61,000.00	435.93



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